Jensen Huangâ€™s Scandal: How Exposed Is Nvidia?

Podcast: Know your risk

AI Executive Summary

Core Thesis

The episode delves into the current state of the financial markets, particularly focusing on the AI technology sector, with a special emphasis on Nvidia and its executive, Jensen Wang. The discussion centers on the implications of potential ethical and policy issues surrounding Wang's personal relationships and his role in shaping tech policy. The hosts also review recent market movements, including the performance of AI stocks, and discuss the broader economic context, including inflation, interest rates, and geopolitical tensions. The overarching theme is the importance of risk management and strategic positioning of retirement portfolios in the face of uncertain market conditions.

Key Arguments & Data

- **Nvidia and Jensen Wang:**
- **Speaker_02** and **Speaker_04** discuss the potential ethical issues surrounding Jensen Wang's relationship with a Chinese executive, suggesting it could harm Nvidia's reputation and operations.
- **Speaker_04** mentions that the Commerce Department was involved in policy changes that seemed to benefit Nvidia, raising questions about possible conflicts of interest.

- **Speaker_02** and **Speaker_04** debate the likelihood of significant damage to Nvidia, with **Speaker_02** expressing skepticism and **Speaker_04** cautioning about the potential severity of the issue.

- **Market Performance:**

- The S&P 500 closed up 2.37%, with AI stocks up 6.3%, and the dollar down 0.6%.
- **Speaker_04** notes that the AI infrastructure trade is still down from the election, suggesting it remains overblown.

- **Speaker_02** and **Speaker_04** discuss the recent market volatility, with **Speaker_02** expressing concern about the opacity of the AI trade and the potential impact of policy changes on data center buildouts.

- **Economic Context:**

- The hosts discuss the current economic conditions, including inflation, interest rates, and geopolitical tensions.
- **Speaker_04** highlights the strong performance of the economy, with low unemployment and nominal growth.

- **Speaker_02** and **Speaker_04** debate the potential impact of the AI trade on earnings expectations and the need for increased transparency.

- **Oil and Geopolitical Tensions:**

- The hosts discuss the ongoing tensions between the U.S. and Iran, including the potential impact on oil prices.
- **Speaker_04** mentions the IAEA inspectors' visit and the U.S. allowing domestic enrichment, which could lead to a reduction in enriched uranium.
- **Speaker_02** and **Speaker_04** debate the likelihood of oil prices dropping and the potential for increased production from Middle Eastern countries.

Actionable Takeaways

- **Risk Management:** Investors should focus on risk management strategies to protect their retirement portfolios, as market conditions can change rapidly.
- **Diversification:** Diversify investments across different asset classes to mitigate the impact of specific sector downturns, such as the AI trade.
- **Stay Informed:** Stay informed about geopolitical events and their potential impact on the markets, as they can significantly affect asset values.
- **Long-Term Strategy:** Develop a long-term investment strategy that can adapt to changing market conditions, including potential downturns and policy shifts.

- **Consult Professionals:** Seek advice from financial advisors to tailor investment strategies to individual financial goals and risk tolerance.

Diarized Transcript

SPEAKER_02: But that guy saw around corners in a way that the next executive probably won't. He's a visionary. Their terminal value is different. Yeah, he's a visionary. I mean, he is to that company with jobs was to Apple.

SPEAKER_00: Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital's Zach Abraham for his free Taking Control live webinar November 19th at 3.30 p.m. Pacific time. At our webinar, we'll review the forces that shaped this year's markets and what we're watching as investors head into next year. Bulwark is focused on risk management. always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next, but you can control how you prepare for it. Join Zach's Taking Control webinar November 19th, 3.30 p.m. Pacific Time. It's live and it's free. Register now at knowyourriskpodcast.com and subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com.

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and actual performance may differ. As always, please remember investing involves risk and possible loss of principal capital. Please seek advice from a licensed professional.

SPEAKER_02: And we are back with another edition of the Daily Dots and I am joined as always by the Brain Trust himself, Mr. Chase Taylor. You know, not doing much today, just wanging around with the full knowledge that hit us with it. Two wings don't make a right. That's correct. That's correct. You don't want to get caught. I can't. Okay, I got to stop borderlining. I was on another interview. I told you about this, but I was on another podcast interview today. I said, hey, look, before we start this, I need to make a disclosure. This is very hard for me. My fifth grade, my internal fifth grader is just having a field day with this one. You know, yeah. For those who don't know, Mr. Jensen Wang, little impropriety there, got a little honey-potted, got the fang fang treatment. And her name is also Wang. So that's where the two wangs don't make a riot comes from. Yeah, I for those scoring at home who maybe didn't know the story and dude, I feel like I've got like a in the New York Post use the Use what you're talking about there? Multiple times this year now. I feel like I've got one of those really hot you triple SA bats You wouldn't know about that unless you had a kid in Little League But they're just super hot bats and I've just got like 20 softballs thrown at me right now And I can't swing out. Yeah, I mean So anyway Let's start there and we'll go to the rundown, but interesting points, because I'll be honest with you, at first blush, I kind of blew it off. I saw Nvidia down 6% at one point on the news. I think it finished down four, four and a half on the day. But at first thought I was like, okay, this really isn't something that's gonna change their earnings picture. But I thought you brought up some really good points that I was probably moving too fast past those points. Bring up your counterpoints. So my, my basic assertion was look, they're not going to fire him. Um, doesn't really change much. I also from my, did she, did she work at Nvidia? No, she worked for a Chinese company. Okay. So, and that was my thing is I, I would, I would, I would be, I would have a hard time believing that just in a personal relationship with him, that she'd get access to real trade secrets.

SPEAKER_04: You know what I mean? It's not like he would keep that on his iPhone. And it wasn't it wasn't trade secrets as much as he advocated

pretty consistently for not doing the chip bans, at least not every measure. He vehemently argued that we should still be sending them ships. Now, in my opinion, he actually made a good argument for it. But yeah, but he probably looked probably wasn't doing that because he was wanging around. He was probably saying that because he wanted to sell China chips. Mean both yeah, and but there's also the fact that No, it guys is pretty obvious and we've talked we talked about a month ago like I talked about the Singapore numbers like how many were going to Singapore and That didn't make sense. Obviously some of those are getting to China. Well now it's becoming more clear Yep, some of those are getting to China through Singapore I mean duh like if you can do math you probably figure that out a year ago but so that looks like the case and so what could come out of this is he knew they were getting smuggled and even maybe helped in some way, facilitate that. That would be a big problem. But also, like, since he effectively lobbied the White House, talked them down from some of the export restrictions, if he's having this relationship with not only a Chinese asset or Chinese spy, but also a, you know, a tech CEO or tech executive in that same space, like that all looks really, really bad. For one thing, The next time he's like, I don't think we should do X with Chinese policy. Everyone's gonna be like, shut up. Like you don't get to talk about that anymore. Yeah. Um, and then some people mess, maybe argument. Now you'll tighten up the chip, chip export restrictions and stuff. Um, which I don't know. If people want to smuggle stuff, they're going to smuggle stuff. I know. I just find it funny that like we're making a bigger deal out of this than we were. Was Swalwell a Senator or just a Congressman when that happened? I think just a Congressman. Yeah. But I mean, you know, I can't remember. I don't know.

SPEAKER_02: everybody's freaking out over this, but like, oh, it's not that big a deal. Like Swalwell, the Fang Fang thing, like, you know, that to me is a much bigger issue. I mean, we're talking cutting edge AI technology. If you buy into the existential like race to get to the leading edge of that part. No, I just, I, but I don't like, I have a hard time seeing now this may not be the issue.

SPEAKER_04: Cause I understand that he's, you know, he's tiptoeing. There's a lot of sensitive strands, right? And he already got caught lying. So,

cause he said like, Oh no, there's nothing inappropriate there. Like we just, we just worked together. And then all of a sudden it was like, all right, so you guys got me. I had a giant affair. Like the cover-up is always the worst part. Exactly. So the risk is more stuff comes out that makes him culpable that he, you know, violated the law and then he has to go and Nvidia without Jensen is not the same as Nvidia with now. They have as many resources in you in the world. They'll get a great CEO. They probably have a nice five years. They'll sell a ton of chips. Do you think that that guy saw around corners in a way that the next executive probably won't. He's a visionary. Their terminal value is different. Yeah, he's a visionary. I mean, he is to that company with jobs was to Apple, right? He saw around the corner. The AI was coming. He hooked himself onto that train. Yep. Yeah, he's a visionary. Do you think it's going that far? I mean, none of us know. All we know is I know. But if you're going to handicap it right now,

SPEAKER_02: I, when I look at it and I look at, you know, just where I'm like this, he's too big. I don't see it happening. I, unless, unless, unless this is the first of a lot of unveils that are really ugly. You know what I'm saying? Like, but if this is the story right now, I don't, I don't think anything really changes. Yeah. It depends on how deep this goes when they crack it open and, and, you know, the subpoenas are flying and stuff and, and Congress really starts looking into it. I think that's when we'll know.

SPEAKER_04: Like one of the thing that came out today is like really, well, it's uncomfortable. Like the commerce department was, was doing some stuff against her company was like getting some stuff ready. And then legal counsel from NVIDIA was working in the commerce department and they dropped it. Like there's been a few, like all too convenient things that it feels like NVIDIA had their hand in policy changes. And obviously like the weaponized flattery with the president himself.

SPEAKER_02: from Jensen has been clear. Now it's not just him. Every tech bro, every person in the oval does the same thing, right? That's what he likes. But I do it if he, if you're doing that on behalf of, of, of Chinese, if I look, if I intelligence apparatus, that's a different story. No, I know. But if I got called to the white house to come have a like, not like obviously I never would, but to come a meeting about the RIA industry, right? I would show

up with something gilded in gold for Trump. And kiss his ass. I mean, I would not. Well, I. OK, I would. Fair enough. And not disingenuous. But you know, I'm not going to. I mean, hey, the guy is really easy to win over. That's the point I'm making. But I would I have no interest in taking him off. But that's what makes this look even worse in some ways. Like it, you know, if the reporting is right, like the White House 100% knew this intelligence community 100% knew this and no one did anything about it.

SPEAKER_04: But to your point that you could argue like, hopefully that is because what was under the hood wasn't as bad as it could be. Because obviously if it's really bad, you would hope someone did something about it. Obviously. Yeah. Yeah. I just, I mean, not a good look, but I think it's more than not a good look. I mean, you're talking about your, your peer adversary and you're talking about the most important technology on the planet. If there was misdoing here, it is, it is not a small deal. I mean, it's big. Yeah. I just, yeah, I don't know, but we're just going to let it play out. And I mean, none of us know what it'll be interesting to see. Yeah. I, my whole thing is like, I mean, the chances are, I mean, I would think that the chances are that he did something damage to damaging to Nvidia or that she got information that was damaging to Nvidia. I don't really see how well, not, not if they're smuggling chips into their military data centers or something. Right. They, this could be a big deal. God, why would he do that? I, Just well, he could have not fully known everything he was doing wrong. That's the point of honey pot, right? No, no, I agree. But I'm just saying that you wouldn't expect a guy would risk a trillion dollars to make an extra 50 billion. But I, you know, we've seen dumber stuff, I suppose. Yeah, greed, greed, the hell. The best way to operate on this level is to just make it feel make him feel like it's in his best interest for real. Like it's not to make him a massive trader. It's to be like, you know, the case he was making was like if we don't Keep selling them stuff. They're just gonna get really good at it. And then they're gonna sell their stuff to Everyone else and we'll lose a lot of markets and it's like that's not crazy like that So like if he just believed that no, it's not so crazy But anytime somebody believes something ardently that also happens to be self-serving, of course, you know I mean you got to you got to take it with a grain of salt He's at least very possibly guilty than more of more than him. Just trying to make some more money for Nvidia But we just got to see what happens though

SPEAKER_02: I'm not you look I'm not trying to judge anybody but I I will say this was about as surprising to me as Monday coming after Sunday this week meaning we see a guy like him rocking that same leather jacket all the time and some pretty girl tells you look good in your leather jacket you better watch out that's all I'm saying and you don't and you autograph women's breasts which he has done yeah I was a leading indicator perhaps If you're over the age of 50 and you're autographing breasts, what are the chances with a big smile on your face? What do you think the chances are that you're a hundred percent faithful to your spouse? I'd say less than 10%. Yeah. Well, now we know it's zero. You know, all the times I've been asked to autograph breasts, I never have. I've always been saying, Hey, that guy had nice pecs. No, you know, as a, as a personal aside, um, I don't envy any of those guys, meaning I don't envy being a target for things like that. Yeah. Um, I don't, I don't, you know, it's like, I feel like it's kind of like a, by the grace of God, there go I type deal. Um, I mean, you know, I take, I take extra precautions and stuff to make sure I don't put myself in compromising situations, but that's a far different thing than guys like that. I mean, I mean, every time not only, not only was he unfaithful, he was, he was unfaithful on something that wasn't real. He probably thought it was real. That's honestly kind of sad. Yeah. Yeah. And well, and like I said, the thing that I always feel some compassion is You know, for you and I to not run around on our wives, that's one thing. Uh, and I'm not making excuses for anybody. I also do not have people throwing themselves. You know what I mean? Like maybe, you know, I don't walk into a room and people are like, there's 200 billion in that worth. And you know what I'm saying? Like, that's a totally, it's like, there's less snakes in your garden. Yeah. A hundred percent, man. My garden is snake free compared to those cats. You know, like, like a Michael Jordan type figure, you know, if you're faithful, you know, if you're faithful to your spouse with that kind of pressure, that's a different ball game. It's harder to keep snakes out of your garden. Yeah. Yeah. It's sometimes should be job number one. If you're that person though, that I will say you would think. And there's plenty of men that have been able to do that. But again, I just always feel, yeah, just again for the great, you know, it's just so easy to sit back and criticize guys like that. And you're like, Hey, how many women have you had to turn down this week? You know, the answer for me is none. So no, that's the other thing too. When you hear guys get in trouble with things like this. And they always kind of

like usually lead with an untruth or something like that. And you're like, dude, come on, you know, eh, nah, she's probably not lying. Like meaning I haven't ever had women lie about me. Right. You know what I mean? Nobody. It's it's not like they're just right. You know, anyway. OK, let's get the rundown. Yep. So big update. S&P closed up two point three seven cues up three and a half.

SPEAKER_04: Equal weight, basically the same as S&P. Smalls up 3.2. Mag 7 up 2.3, which is pretty impressive given Nvidia lagging there. AI stocks up 6.3%. XUS up 2.8, so notably beat the S&P with a lot of help though because the dollar was down almost 0.6%. And that's because people are dumb. And what I mean by that is oil was down 4.5%. We'll talk about that. Gold up one eight silver up to eight gold miners up four four all mostly because oil was down of course rates This is interesting. You had dollar down you had oil down but rates you're up about six basis points on the two-year Of about three basis points on the ten. It's a little bit awkward there and then vol down about sixteen percent on front month vol I'll tell you today was one of those days where of all the things that I wanted to see to

SPEAKER_02: And this might sound funny, but you know, you go into it, you go in today, thinking about it over the weekend and kind of thinking of, you know, what the possibilities you're looking at, you know, the different way you're looking for things to play out. Um, the move today was not at all what I was hoping to see and does nothing more to add to me. It just makes the whole situation more opaque, meaning, um, I mean, obviously you've got to pay attention to the charts and the levels. If I'd have seen a sell off today, I think I'd have been more tempted to dip my toe in the long side. Um, had I seen a modestly update, I think I would have been more tempted to dip my toe into the long side. Um, a move like today was too a bullion and too charged to make me want to get in there. Um, does that make sense? I, it does, but I will, I will say this is the last few times we've had a big down day, a big, like a liquidity event, even as a couple of days.

SPEAKER_04: It marked the bottom usually when you v-shape out. It's over. Yep. I agree now like doesn't mean this is what I will say is is One thing I'm confident is I don't think there's been much signal in price action

since the election No, I think it makes sense that the AI infrastructure trade is still down from the election because like we said the facts change doesn't mean it's horrible, right? I think it's getting overblown. But I think we talked about that some but like But like just because you're up a bunch today doesn't mean it was as good as it looked. Just like to me, Thursday wasn't as bad as it looked. You had tons of force selling, you know, the CTAs and the vol control funds blew, you know, they sold a ton. You had hedge funds literally blowing up. Like anytime you see a bunch of forced selling and then forced hedging on top of the force selling, it's typical. You set yourself up for, yeah, it's typical. A locally, a local bottom to some extent. All you really need today was just no bad news.

SPEAKER_02: People take off some hedges and you were gonna get this. Yeah, you were gonna rip and and The the issue that I have with it though is that if I see action like today to me it's the market looking like it has so many times in the past where You were responding to the price action alone Right meaning and that was the right thing to do right the price action told you that was somewhat of a capitulation Why would I say somewhat of a capitulation when I see stocks like micron down 16%? in a single session. Yeah, it was the worst day since COVID. Yeah, yeah, yeah. And so you're like, okay, but when I see a bounce back today, the market's like, oh, these like all these other times. No, it's not. Because this time, you've actually added some things that increase opacity in the number one trade in the world right now. Now, does that increased opacity mean that you need to be 20% lower on the queues? I'm not saying that. I don't know that. What it does mean, though, is that I would be very suspicious if the AI trade just takes off again as if there's nothing, there's no issues. Again, there is no definitive proof that this is over. I'm not saying any of that. What I'm saying is for the first time in a good long while, you've got some actual things that are of concern and some actual things, like I said, I don't mean to keep repeating myself, but that inject opacity into otherwise what had been a pretty clear picture of just soaring revenues and earnings. And now you've got some serious questions being called in. Like we were talking about last week, and my overall feeling on this hasn't changed, which is you're still gonna have data centers open here in the United States. I would expect there to be less. I would expect it to happen at a slower pace than people

were expecting. What impact does that have? I don't know, but it does inject some uncertainty into the trade. That's kind of where I'm at.

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SPEAKER_04: It could be 40. There's been so much noise in the price action and it's already down a lot. So like it could be over just on just like that was enough of a reset, but it could just be getting started. Like if the credit side blows up or whatever, but what I will say is macro wise economy is growing at three and a half percent. Unemployment is 4.1% nominal growth, seven and a half percent. The consumer is still doing fine. Like the economies, there's nothing wrong with it. No, like that I will say like So whenever I see the market wobble and I look over at the economy

and it's fine, it makes me not want to like, you know, throw myself at, at like a bunch of downside. Cause no, where's it coming from? This was a little different because there was a popular trade. And to be fair, I don't look at this market writ large and see a lot of downside like based on all the things you're talking about. We just have some downsides. Yeah. Um, but

SPEAKER_02: What I do think is that when you have it, you know, like we've said, man, when you have a trade that is that richly valued, that is that degenerately long, you know, and it's less degenerately long than it was two weeks ago, of course, or four weeks ago for that matter. But when you, you know, much, much less. Oh yeah. Yeah. Just those, like, if you inject any under any uncertainty into that trade, you're going to see that happen. And we did. Like that's, that's the thing is how much of us behind us versus in front of us. And I don't know. And that's, that's what makes today's price action tough to me because the today's price action is like so many of those other liquidity events where you were right to buy the news. The difference in so many of those other liquidity events is for the vast majority of them, the only thing you were afraid of was the price action itself. This time I'm looking at and going,

SPEAKER_04: I'll push back a little bit. I think in a lot of those, you had something accompanying them. I remember summer of 24, everyone thought the yen carry trade was blowing up and the world was going to end. And it didn't. It was mostly just the price action. And I'm not saying this one. Yeah, but you and I didn't think that you and I didn't think that I didn't think it was blowing up the world. There were a lot of people very bearish at that point. I know, but we stayed really long over that point. I mean, we didn't we didn't really overly respond to that. OK, no, we didn't. I remember a little differently, but. We weren't that short. No, no, no, no. We'll never be that short. But we have been for what we. Well, not so I've been here now, like literally net. I've been that short. I was that short. It's different. Yeah, it was a different animal. That's fair point being usually when you get a drawdown, there's something accompanying it to scare you. Like just this is that's just the market. Yeah. Now, how believable that scary thing is always different. And to be fair here, like this one's believable enough, like

SPEAKER_02: It just kind of hangs out there like an albatross. We know it's going to be different than it looked four months ago. We don't really know what that is. And maybe the differences are not big enough to justify these kinds of moves in the stock. The tough part about this is that when you've got, again, when you've got margins at the levels that they're at and earnings expectations at the levels they're at. That last part's key. The earnings expectations. We're pretty aggressive. There isn't a lot that has to happen to really upset that. Yeah, we're there. I mean, yeah. And that's and I have not seen any of that opacity that was absolutely injected six days ago. I haven't seen any of it pulled out. What I will say is I there's there's been moments where I kind of felt like the market was like, oh, like no one's going to build data centers now.

SPEAKER_04: Like they took it really far. Like, oh, this new Texas governor means no data centers in Texas. It's like, hold on. Yeah, like 2027 build out is basically safe. The stuff after that is not that stuff is going to take longer and cost more and stuff to get done. Now there's a lot of time left between now and 2028. We don't even know if we need that stuff as bad as we think. And especially when you're throwing around the kind of money they're throwing around, right? Like meaning In a scenario, well, we can build it here, but it'll cost us an extra 250 million. Not a problem. And there's tough questions. Like if all the earnings are still going to be the same, they're just going to be more in 29 and 30 than 28. Does that matter? Is that good? Is that bad? You know what I mean? Like those are the, those are the hard questions that I frankly don't think anyone has the answer to. Right. No, it's, it's a call. That's what charts are for. Whenever it gets this confusing.

SPEAKER_02: Just let the chart tell you that. That's what the way I know. But that's tough. That's tough, man. And we and I'll just, you know, always transparent. But I think you know that you have to have an opinion on the eye trading. Yeah, I be clear. Yeah, but but I think you put it perfectly when you said the tough thing about this is the price action has told you nothing. There's just so much for selling and today forced buying because to be clear to people like when you get negative gambling, everyone's hedge, you get face ripping rallies. for no other reason than people are taking off hedges and then the dealers are having to buy because it's going on. And again,

we've seen plenty. Like you said, we've seen plenty examples of these V shape recoveries. So you, you cannot, you cannot ignore that. Yeah. But again, just, just being a market guy, when I see recoveries, I, again, this market has reacted different. You got to take that into consideration, but it's why I usually like to see more of a grind hire. Yeah, it's just not the way it works anymore because of market structures. So to speak of that. But I will say, let me reiterate, I think this is a perfect way to encapsulate it. The reason I'm not sold on this recovery yet, and I'm not sure. I feel very much up in the air. This just feels like a very complicated moment. And I could see either or playing out like you were saying, 20% either direction wouldn't shock me at all, especially as it relates to those AI names. The issue that I have is that to me, this was not just a typical freak out where

SPEAKER_04: You have this fear out here. Like you just had a bunch of people get elected because they oppose data centers. Although to be fair, we went up Wednesday. I still think Thursday was this a training moment, but, um, they, it was like a domino that knocked over a bunch of force selling dominoes as much as anything. But, and I think we needed it. Like a bunch of idiots, 300% long. I think the reason you went up, we needed to get rolled. I think you went up Wednesday is cause I think about, I think one of the primary drivers of that is everybody was coming in. Well, I shouldn't say everybody, but I think that there was a real belief, especially on the market side of things, that if Democrats swept, it'd be carnage in the market. And I think a lot of people were hedged. And the minute they saw green on the screens, Wednesday morning, they dumped their hedges. And then everyone dumped hedges Wednesday. It's in the data. And then they all put them back on Thursday. And then it just got destroyed. And then you could see Friday too. This was kind of important. Like it was decent day Friday. It was green, but you could, you could see that last hour. A bunch of people were buying VIX futures. Like they wanted some weekend protection, which makes sense. Cause the war and everything else too. Whenever Monday was fine. A lot of people were like cool don't need that anymore. Yeah Was I was gonna make a point second ago. What was it? Oh? One thing I will note if we keep going higher to speak to the market structure Then the vol control and the CTAs go back to buying and then you get a real Lentless bid that will feel Like the market goes up every day no matter what you'll get back into that because it will go up every day no matter what

for no other reason than every systematic, that's like the little bird that keeps popping up and down on the keyboard. This is going to hit by all day. So that's something to keep in mind for anyone. That's, you know, if you're over super bearish, you might, you might get the little bird pecking on the buy button here soon. That's the other tough one too. Right now is if you ask me where the pain trade was, I, I, I'm not really sure. I think a lot of people got pretty bearish last week. So I think it's higher CTA has flipped short. Apparently like everybody on my Twitter feed got bearish.

SPEAKER_02: If they were already bearish, they were doing an end zone dance. So I don't know anyone still out there just planting their flag in the AI trade or any long trade. I think you're right. I mean, I think I saw I saw more split than that. But I think the thing that I'd lean on is I saw some I saw and heard some serious concern out of AI bulls. Yeah. And that kind of leads me to believe that there was if you're super bullish right now, you're getting tired and feathered, you know, in the public arena. So yeah.

SPEAKER_04: Now with that said everyone will flip back in record time though, like it won't take long for everybody to be like Forget they were ever bearish. But yeah, it's complicated. Shall we go to the very annoying straights of our lives today? Yeah, we ran down right? Yeah, we did you we did run down. Yeah. Yeah, let's go to yeah straights of our lives back So we are we are playing the hits here. We went I can't make this up our Arabia Pakistani and Qatari sources combined to give us today's wonderful wonderful news A few hours after Rubio told us it was going bad, but so they're talking about having the IAEA inspectors come back to look at the nuclear stuff about the U.S. allowing domestic enrichment up to three point six seven percent, which has been floated many times. We're seeking apparently a 60 percent reduction of enriched uranium. I don't really understand what that means. We're going to give them six to nine billion dollars back on free some assets. This would open Hormuz and we would drop the blockade. So that's what got reported today. That's why oil was down along with reporting that Vance would go to Qatar to meet with, um, you know, the IRGC principle essentially from, uh, from Iran, which ran, I'm pretty sure literally denied after that got reported, but so that's why we dipped again on oil today.

SPEAKER_02: And the president said that he thought it was unlikely that we would go back to a big bombing as well. After he's trying to recruit Dana White to be his press secretary. Oh, he was just kidding. Yeah, I'm sure he was. What a time to be alive. You know, it's a weird deal. Obviously, I want this to be over at the same time. There's going to be a part of me that's going to be highly annoyed. I don't trust LRB. I'll tell you that. No, I don't. I don't trust anything I'm hearing. At the same time, if he's ready to talk a deal now, I'm going to be even more annoyed because I'm like, so you got historically routed in the midterms. And then you did the thing that would have helped. And then you did the thing from the midterms. Yeah, right. That's brilliant. It's that 3D chess. He's got them right where he wants them. Yeah, that's why I don't believe it honestly and like there's so many unanswered questions in that like the fact that this new skips Clear stuff, but Trump did make those comments like he's softening his stance and your she's done but he's done like a hundred times I know throughout the whole I know I just don't know why after leading into the election saying you're gonna ramp up which that was the other one I want to be like again, whatever think whatever you want wanted to get beat whatever but it just shows how disconnected from reality they are right now like

SPEAKER_04: You were saying you were gonna hit them hard after the election. You thought that would help you in the election, right? Like and then you get destroyed and now you're capitulating Well, yeah, it doesn't make sense. What I could see is another I'll call it a fake deal Like the first the first deal, you know, whatever lasted for like a week a bunch of oil got out Iran got to make some money which was nice for them and then we just went right back to where we came from I could see that happening again where we just everybody gets to sell some oil real fast and sing kumbaya offer week and then we get really cool still hate you guys and we go back to it. I will note something potentially interesting today. The Iranians hit a communication and radar site on a little island along the Oman route that they claim was helping facilitate a lot of that navigation. And at least this morning on imagery, there really wasn't much movement in there and it looked like they didn't really get much out last night. Now. I don't know if that will actually hinder how much gets out or not. We'll have to actually see the data for like five days or something to have a real opinion about that, but you could see a drop off because they hit that and they can also

maybe rebuild that stuff in a week. I have no idea, but something that something to like keep an eye on, especially since you know, oil is down a bunch for because Al Arabia said some stuff. But we didn't hear from Axios. They're next. I'm sure it's Jadid and Arabia season. They lead. Yeah, but Axios is supposed to lead. I mean, they are the best at making stuff up. I think that's fair. If it bleeds, it leads, baby. Yeah. So, um, I, if we stick to our, if we stick to our knitting, I was sitting there looking at an 80 handle on oil and thinking, Hmm, that looks interesting. Yeah. Do you want more? I mean, now we pressed it last week. I feel like we're in a decent spot now. Yeah. Yeah, that's true. I still think the beauty of it is the hedge, but.

SPEAKER_02: Oh, I agree. Yeah. No, I love it. No, for all the for all intents and purposes. The other thing is that it feels to me like the and we've said this all along and we'll see the way this plays out. Maybe I'm wrong. Because, you know, we expect things to normalize once this ends pretty quickly. That being said, it really seems to me like the market is not taking seriously the amount of refilling storage that's going to have to go. I will be surprised if we see oil drop back into the low to mid 60s and hang out. I'm actually on the other side of that. I just, I think there would be enough. I wouldn't, I wouldn't expect it to see, to see it go down there in, in a moment. But it's, I, I think the middle East will just go nuts with production for a while. And I think, I think it's gonna. Well, that's, that's the flip side is that everybody one, when this does open up, everybody that's got a lever to pull to produce more is going to do it. Yeah. And like the UAE, because they pulled out of

SPEAKER_04: They had a lot of production capacity that was untapped, but they, but they left OPEC so they can, they can make it rain the black hole there for a little bit. And I think you could see a scenario where everyone's goes kind of full tilt and you do actually go back into the sixties. Um, but what's your point? Like there is a lot of not just commercial inventories have to get refilled. Do you know what, do you know what's strategic? What scares me about this setup is

SPEAKER_02: And again, I would think that this is somewhat of a tail risk, probably not like a straight tail risk. It's probably a little bit more likely than that, but I'm not saying it's likely. What does bother me about this is

that there is still an underlying setup in the oil industry where if you got a couple things going wrong the bad way or move in the wrong direction, you could see massive increases on oil in a very short period of time.

SPEAKER_04: You know what I mean? Every barrel you lose, it makes the tail, the potential tail just fatter. I mean, it just, you have less margin for error. It's like when a crop health gets lower and lower. It's like, man. And the market is not pricing that risk. It's not, not at 88 at all. The market is pricing resolution very soon right now. And I don't think there's any other way to look at it. Very soon. And I just, I don't see that. And that's a concern too. And the fake news parts of this, what has been fake news for the last, eight months at least. The same source is over and over, right? The other part of it too is they are agging along. The other part of it too is it's the little trick they've pulled, which is I think we're all looking at the wrong thing where oil was always the thing to look at. It's the price of the distillates and the... The good news there is like crack spreads have come in some, you know, product prices have come in some. The price of oil comes down, that's going to happen. So hopefully that stays good news. But I mean, if this unravels even for a week, like you got to reprice. I mean, just And it's one thing to get, you know, 75% of 80% of the old flows out of the Middle East. When missiles aren't flying all over the place, whenever they are like that, well, that isn't going to happen anymore. Um, it's going to be, it's going to be interesting watching nothing. No, like you're five, six days away from our third carrier being in the region. So things could obviously get, um, that's like the window of time that's clearly worth watching. And we have a notice to airman that Iraq put on, maybe they took it off and I didn't see, but

SPEAKER_02: I haven't seen that they took it off. It is open right now that basically has some airspace restrictions and stuff that is reeked of something could happen. So we'll see. You got anything else? I don't think so. I got about a dozen on the day. My closing part on this would be like, now this could be over really soon, depending on the next state price tag. If you get some follow through here, you could break through some really critical points. We're bouncing up against them technically on the charts right now. But from where I sit right now today, I feel really split down the middle. If you're looking for clarification, you're not going to find it here. I

just think you could go either way here. Now, I will say this. I think that this situation has made a lot of other things look better on a fundamental basis, price-wise, to buy. We're going to take advantage of some of that. We already have. But as far as market direction here, good luck. Speaking of that, real quick, in my writing this weekend, if you look at

SPEAKER_04: Even if you take a 30% haircut, unexpected earnings in 2028, when the build out will likely slow, even at that level, like both Dell and Nvidia, which has got their own stuff going obviously now, they're like subs 16 times earnings, forward earnings, like for 2028 with the 30% haircut. So even if everyone's right, it's going to slow down like, okay, but that might be in the price. It might be.

SPEAKER_02: Anyway, all right, as always, you guys can follow us on social media. I'm at KYR Radio, Chase is at Pine Cone Macro. Go to the website, bullworkcapitalmanagement.com for advisory services. Get the video feed on YouTube. Just search Know Your Risk Podcast. You guys know the drill. Have a wonderful evening. We'll see you again tomorrow. You're listening to Know Your Risk Podcast. Download and subscribe at knowyourriskpodcast.com.

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